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MGT 101

MGT 101 Most Important Points Module #10-15 2022 Updated Compile By Rizwan Hussain

Important Points

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MGT 101 Important Point for Module 10-15
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Chapter - 10

Fixed Assets and Depreciation Accounting

- **Depreciation Methods and Depreciation Rates**

1. **Selection of depreciation method depends upon the pattern of economic benefits associated to the asset**

2. **Except for reducing balance method; for all the other methods first calculate depreciable amount and then work out depreciation expense**

- Basic Accounting for Depreciation

1. **Provision for depreciation is contra to asset account**

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2. **Depreciation is a charge against usage of fixed asset, if nothing is mentioned then calculate depreciation on time proportion basis**

- **Disposal of Fixed Assets - Accounting Entries**

1. **Identify the amount of accumulated depreciation till the date of disposal in accordance with depreciation basis (full year or time basis)**
2. **Transfer accumulated depreciation into disposal account**
3. **Transfer cost of asset disposed of in asset disposal**
4. **Asset sold for cash, credit or claim against insurance, the amount will be considered as disposal proceeds**

- **Exchange of Asset**

- **Single accounting entry for disposal of fixed asset**

Provision for Depreciation Dr.

Cash-Trade in Allowance-A/R-Insurance Claim Dr.

Income Statement (for Loss - if any) Dr.

Fixed Asset Cr.

Income Statement (For Gain - if any) Cr.

- **Fair value is the price that would be received to sell an asset in an orderly transaction between market participants at the measurement date**

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END OF MODULE 10

Chapter - 11

Control Accounts

- **Why Control Account Are Maintained**

1. Control accounts are prepared in Main Ledger
2. Each control account is backed by a memorandum or subsidiary ledger

- **Format Debtors Control Account**

1. Opening balances are placed at their side of nature
2. Closing balances are placed at the side opposite to their nature

- **Format Creditor Control Account**

1. Opening balances are placed at their side of nature
2. Closing balances are placed at the side opposite to their nature

- **Contra Entries**

1. Contra entry is passed in both accounts i.e., Debtors and Creditors
2. Contra entry is passed in side opposite to the nature of the account
3. Contra entry is passed with lower of the two outstanding amounts

- **Posting from Journal to Individual Accounts maintained in Subsidiary Ledger**

1. Individual customers' or suppliers' accounts are maintained as memorandum
2. Subsidiary ledger balances are not taken to Trial Balance

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- **Posting from Journal to Control Accounts maintained in Main Ledger**

1. **Sum of the BOE are posted in the relevant ledger accounts in main ledger**
2. **C/F balance of control account should be equal to the total of the list as per relevant subsidiary ledger**

- **Names of Accounting Records that cause confusion**

1. **Sales journal/daybook Book of original entry for credit sales**
2. **Sales ledger Subsidiary ledger - a book for debtors**
3. **Sales ledger control a/c Debtors control a/c in main ledger**
4. **Sales account Sales income a/c in main ledger**

5. **Purchase journal/daybook Book of original entry for credit purchases**
6. **Purchase ledger Subsidiary ledger - a book for creditors**
7. **Purchase ledger control a/c Creditor control a/c in main ledger**
8. **Purchase account Purchase expense a/c in main ledger**

1. **Don't confuse with different names**
2. **Just concentrate on the concept for which the records are being kept**

- **Control Account Reconciliation**

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	Reasons of difference	Amendments
I	Books of Original Entries	
	a. Recording error	Control a/c and List
	b. Casting error	Control a/c only
II	Control Accounts – Main Ledger	
	a. Posting error	Control a/c only
	b. Casting error	Control a/c only
III	Individual Accounts – Sub Ledger	
	a. Posting error	List only
	b. Casting error	List only
IV	List of Balances	
	a. Listing error	List only
	b. Casting error	List only

END OF MODULE 11

Chapter - 12

Rectification of Errors

- **Types of Errors**

1. **Trial balance agreement doesn't mean that the records are free from error**
2. **Difference in both sides of trial balance is temporarily transferred to "Suspense a/c"**

- **Errors that do not cause any difference in Trial Balance**

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1. **Difference in both sides of trial balance is temporarily transferred to "Suspense a/c"**
2. **Single entry rectifies the error the second effect is recorded in suspense account.**
3. **Ultimately the suspense account should be NIL**
4. **Assets and Expenses Heads appear in the Dr. side of TB**
5. **Capital, Liabilities and Incomes Heads appear in Cr. side of TB.**
6. **Contra accounting heads are the exceptions**

- **Rectification Of Error:**

1. **Step 1 – Pass the correct original entry**
2. **Step 2 – Pass the wrong entry that was made erroneously**
3. **Step 3 – Pass the rectifying entry by comparing wrong with the correct original entry**

- **Posting in Suspense Account**

1. **Amount of difference appearing in the Dr. side of TB should be placed in Dr. side of Suspense account and vice versa**
2. **Trial Balance is not a ledger account**

- **Calculation Of Adjusted Profit:**

1. **Nominal accounts relate to Income Statement (Expense and Income)**
2. **Dr. effect to Nominal Accounts causes a decrease in the net profit**
3. **Cr. effect to Nominal Accounts causes an increase in net profit**
4. **Only nominal accounts affect net profit**
5. **Profit – Cr nature**
6. **Loss – Dr. nature**

- **Adjusting Working Capital:**

1. **Current Assets and Current Liabilities are known as Working Capital Items**
2. **Dr. effect to working capital items causes increase in the working capital**
3. **Cr. effect to working capital items causes decrease in working capital**
4. **Working capital is Net Current Assets**
5. **Working Capital is Dr. in nature**

- **Concept of Capital and Revenue Expenditure / Receipts**

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1. **Capital and Revenue Expenditure / Receipts should be correctly recognized in the appropriate accounting heads.**
2. **Capital expenditure – Asset**
3. **Revenue expenditure – Expense**
4. **Capital receipt – Liability or Owners' Equity**
5. **Revenue receipt – Income**
6. **Capital nature belongs to Balance Sheet**
7. **Revenue nature belongs to Income Statement**

END OF MODULE 12

Chapter - 13

Final Accounts with Adjustments

- **Preparation of Final Accounts**

1. Income statement (Statement of profit or loss and other comprehensive income)
2. **Incomes – Expenses = Profit**
3. Balance sheet (Statement of financial position)
4. **Assets = Owners equity + Liabilities**
5. **Mark A-E-I-L-O**
6. **Dr. side of TB contains Assets and Expenses**
7. **Cr. side of TB contains Equity, Liability and Incomes**
8. **Take care of contra nature of accounting heads**

- **Adjustments for Fixed Assets Rectification of Errors**

9. **Items appearing in TB have single effects in Final Accounts**
10. **Except for the following heads all other heads appearing in TB reveal closing balance:**
    a. **Owner's Capital**
    b. **Provision for Depreciation**

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c. Provision for Doubtful Debts
d. Opening Stock

- **Bank Reconciliation Provision for Doubtful Debts Claim against Losses**

- Concept of direct and indirect expense does not exist in financial accounting language.
- For classification purposes all expenses are categorized into five functions:

1. Cost of goods sold
2. Administrative
3. Selling & distribution
4. Financial
5. Income tax

END OF MODULE 13

Chapter - 14

Manufacturing Accounts

- **Reporting Requirements of Manufacturing Entities**

1. Accountants of manufacturing entities are required to prepare "Manufacturing Account" apart from the "Trading Account"

- **Classification and Analysis of the Cost of Production**

1. Cost Vs Expense
2. Cost that expires is Expense
3. Cost of Goods Manufactured is Cost
4. Cost of Goods Sold is Expense

- **Inventories**

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Types of Inventories

1. **Material Inventory**
2. **Work in Process Inventory**
3. **Finished Goods Inventory**

2. **Stores and spares are indirect material supplies**
3. **Cost of consumed supplies is included in FOH by adjusting opening and closing inventories**

- **Format of Financial Statements of Manufacturing Entities**

1. **Manufacturing account is integral part of income statement**
2. **Manufacturing account provides information for Trading account**
3. **Trading account provides information to P&L account**

- **Manufacturing Account without process**

1. **Correctly identify the nature of the expense head based upon its function, like wages can be direct, indirect, administrative and selling.**
2. **Factory overhead should be worked out carefully e.g., Depreciation of production plant is FOH**
3. **Store rent is FOH, rent for finished goods warehouse is operating expense.**

- **Manufacturing Account with Work in Process Inventory**

1. **Work in process inventory is also known as semi-finished goods inventory**
2. **If closing inventories are appearing in the trial balance, then don't subtract closing inventories for calculating cost of consumption or cost of goods manufactured**

END OF MODULE 14

Chapter - 15

- **Accounting for Inventories**

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1. Inventories are “Assets”
2. Material or Supplies include
    1. Production Supplies
    2. Office Supplies
    3. Shipping Supplies

- **Classification and Valuation of Inventories**

1. For Assets to be reliable, a prudent view must be taken where there is certainty to ensure that assets and gains are not overstated.

- **Net Realizable Value Finished Goods, WIP, Raw Material**

1. If NRV of finished goods is lesser than its cost then its Raw material shall be measured at lower of its cost and Replacement Cost (NRV)
2. If NRV of finished goods is greater than its cost then its Raw material shall be measured at cost.

- **Components of the Cost of Inventory**

1. Cost of inventory includes all the costs that are incurred to bring the inventory into its present location and condition

- **Inventory costing methods**

- IAS 2 allows only two methods to work out cost of inventory:
    a. FiFo
    b. Weighted Average

- **Accounting systems to record inventories**

1. Perpetual system is followed in the entities where systematic accounting is adopted
2. Periodic system is easy and simple to follow.
3. Perpetual system gives us balance of inventory after each information of movement in inventory

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4. **Periodic system tell us inventory balance after the end of reporting period only**

- **FIFO and Weighted Average under Perpetual System**

1. **FIFO – Balance column will contain inventory count in chronological order**
2. **W Avg. – Balance column will contain total number of inventory in hand on that date with its total cost**

- **Problem of Stock Taking under Periodic System**

1. **Work out inventory movement at cost**
2. **NRV is calculated once the cost has been ascertained**

- **Recognition of Inventory as Expense**

1. **Cost that expires is Expense**

END OF MODULE 15

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